

prove to be no more than a formality and that the loan was really Devin's. After three months, Rhonda had almost forgotten about the loan when she received a notice in the mail saying the loan was three months delinquent. Rhonda was furious and called Devin, who assured her he would pay the money owed. He explained he had to buy some business suits due to the dress code at his new internship. He promised he would get the loan current.

The next month, Rhonda was at home studying when the phone rang. It was the car dealership's collection's department who explained that they were now left with no other option than to repossess Devin's car. His car payment was now four months delinquent. This repossession could be avoided in addition to its appearance on Rhonda's credit report if the amount owed could be paid immediately.

Rhonda again confronted Devin who had more excuses as to why he hadn't paid. He promised to pay the amount right away. A few days later, Rhonda got a call from Devin who needed a ride home from his internship. He explained that someone must have stolen his car while he was at work. When he went to the parking lot to leave for the day, his car was gone!

It turned out to be a reposessor and not a thief who took Devin's vehicle. Because of the repossession, both Devin's and Rhonda's credit have suffered. Since a repossession stays on a credit report for seven years, both of their credit reports will have this negative mark for a long time. Devin was able to get another car by agreeing to an interest rate of 31 percent. This high interest rate was not a concern to Devin since he did not grasp the concepts of interest and the true cost of credit.

Rhonda, who otherwise had spotless credit, now had a significant blemish. She found it difficult to get additional credit, rent an apartment, or trade in her car for a newer model.

